

Key Changes	Target 		Rating 		Earnings
Stock Type	Bloomberg Code	Sensex	NSE Code	BSE Code	Time Frame
–	540115	–	LTTS	540115	12 Months

Target	–
CMP	–
Return	–

Data as of: September 30, 2025

Company Data	
Market Cap (Rs.cr)	–
52 Week High — Low (Rs.)	–
Enterprise Value (Rs. cr)	–
Outstanding Shares (cr)	10.6
Free Float (%)	–
Dividend Yield (%)	–
6m average volume (cr)	–
Beta	–
Face value (Rs.)	–

L&T Technology Services reports 16% YoY growth in Q2FY26

L&T Technology Services (LTTS) is a global leader in engineering and technology services. A listed subsidiary of Larsen & Toubro (L&T), it offers design, development, testing, and sustenance services across products and processes. Its customer base includes 69 Fortune 500 companies and 57 top ER&D companies across industrial products, medical devices, transportation, telecom & hi-tech, and process industries.

- Revenue at ₹29,795 million, up 15.8% YoY and 4.0% QoQ.
- USD Revenue at \$337 million, up 10.4% YoY and 1.3% QoQ in CC terms.
- EBIT margin at 13.4%.
- Net profit at ₹3,287 million, up 2.8% YoY and 4.1% QoQ.
- Interim Dividend of ₹18 per share declared.
- Record high large deal TCV of ~USD 300 Mn in the quarter.

Outlook & Valuation

LTTS continues its strong momentum of large deal wins, achieving a record high TCV of nearly USD 300 Mn, reflecting client confidence in its next-gen offerings. The 'Go Deeper to Scale' and multi-segment strategy is driving growth, with the Sustainability segment showing double-digit annual growth. Investments in AI-first delivery models and new platforms are consolidating its leadership in engineering and industrial AI. With an increased order book and focus on profitable growth, the company expects revenue and EBIT margins to improve in H2 FY26, aspiring for double-digit growth in FY26 and reiterating its medium-term outlook of USD 2 Bn revenue.

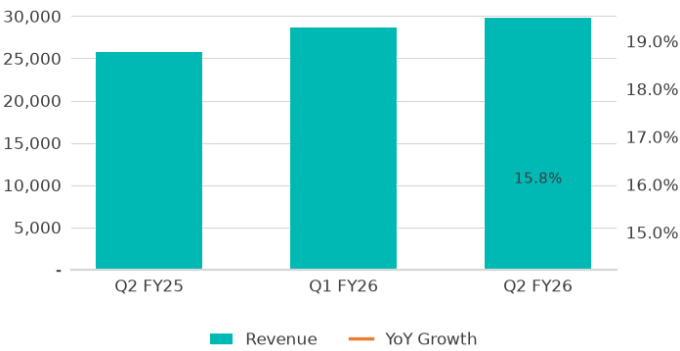
Quarterly Financials Consolidated

Rs. mn	Q2 FY25	Q1 FY26	Q2 FY26	QoQ (%)	YoY (%)
Revenue	25,729	28,660	29,795	4.0	15.8
Cost of sales	18,192	20,625	21,462	–	–
Gross Profit	7,537	8,035	8,333	3.7	10.6
Selling, General & Administration Expenses	2,877	3,411	3,425	–	–
EBITDA	4,660	4,624	4,908	6.1	5.3
Depreciation & Amortisation	783	811	926	–	–
EBIT	3,877	3,813	3,982	4.4	2.7
Other Income, net	531	512	498	–	–
Income tax expense	1,208	1,164	1,188	–	–
Minority Interest	4	4	5	–	–
Net Income	3,196	3,157	3,287	4.1	2.8
Gross Margin	29.3	28.0	28.0	–	–
EBITDA Margin	18.1	16.1	16.5	–	–
EBIT Margin	15.1	13.3	13.4	–	–
Net Income Margin	12.4	11.0	11.0	–	–
Basic EPS (Rs.)	30.20	29.81	31.02	–	–
Diluted EPS (Rs.)	30.12	29.77	30.97	–	–

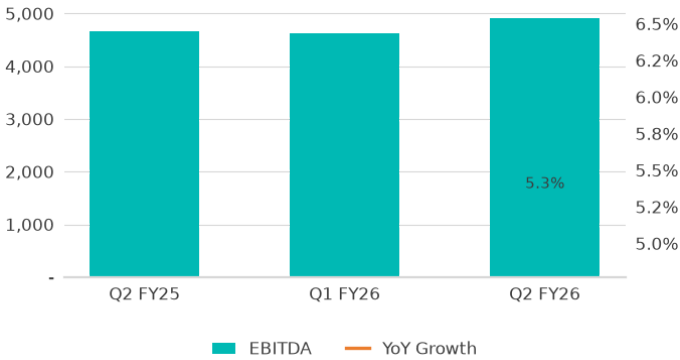
Key highlights

- LTTS announced a multi-year membership agreement with the MIT Media Lab to collaborate on AI-led innovations in Mobility, Sustainability, and Tech segments.
- Certified during Caterpillar’s 2025 Supplier Excellence Recognition (SER) event for the second consecutive year.
- Rated as Leaders by ISG in US for Medical Device Digital Services 2025 and Automotive and Mobility Services and Solutions.
- Closed a \$100 million multi-year agreement in its Sustainability segment with a U.S.-based industrial equipment manufacturer.
- Awarded a ~\$60 million multi-year program in the Tech segment by a U.S. based provider of wireless telecommunications services.
- The patents portfolio of L&T Technology Services stood at 1,601 at the end of Q2FY26.

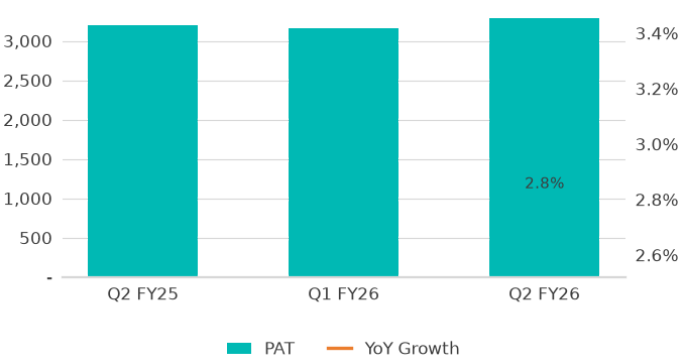
Revenue (Rs. mn)



EBITDA (Rs. mn)



PAT (Rs. mn)



Consolidated Financials

Profit & Loss

Rs. mn	Q2 FY25	Q2 FY26
Sales	25,729	29,795
% change	–	15.8
EBITDA	4,660	4,908
% change	–	5.3
Depreciation	783	926
EBIT	3,877	3,982
Interest	–	–
Other Income	531	498
PBT	4,408	4,480
% change	–	1.6
Tax	1,208	1,188
Tax Rate (%)	27.4	26.5
Reported PAT	3,196	3,287
PAT att. to common shareholders	3,196	3,287
Adj.*	–	–
Adj. PAT	3,196	3,287
% change	–	2.8
No. of shares (cr)	10.6	10.6
Adj EPS (Rs.)	30.20	31.02
% change	–	2.7
DPS (Rs.)	–	18.0

Cashflow

Rs. mn	FY25	YTD FY26
Net cash provided by operating activities	14,811	4,809
Less: Capex	1,018	643
Free Cash Flow	13,793	4,166
Free Cash Flow to Net Income (%)	109.0	65.0

Balance Sheet

Rs. mn	FY25	Q2 FY26
Cash	15,658	14,918
Accts. Receivable	29,165	31,987
Inventories	–	–
Other Cur. Assets	10,215	10,679
Investments	13,096	13,846
Gross Fixed Assets	–	–
Net Fixed Assets	9,063	9,362
CWIP	–	–
Intangible Assets	13,667	13,673
Def. Tax -Net	–	–
Other Assets	5,571	2,851
Total Assets	96,435	97,316
Current Liabilities	29,900	28,670
Provisions	–	–
Debt Funds	–	–
Other Liabilities	5,560	6,572
Equity Capital	–	–
Res. & Surplus	–	–
Shareholder Funds	60,800	61,890
Minority Interest	175	184
Total Liabilities	96,435	97,316
BVPS	573.8	584.1

Ratios

	Q2 FY25	Q2 FY26
Profitab. & Return		
EBITDA margin (%)	18.1	16.5
EBIT margin (%)	15.1	13.4
Net profit mgn.(%)	12.4	11.0
ROE (%)	21.0	21.2
ROCE (%)	20.0	20.2
W.C & Liquidity		
Receivables (days)	103.7	108.9
Inventory (days)	–	–
Payables (days)	–	–
Current ratio (x)	1.8	1.9
Quick ratio (x)	1.8	1.9
Turnover &Leverage		
Gross asset T.O (x)	–	–
Total asset T.O (x)	1.1	1.2
Int. covge. ratio (x)	–	–
Adj. debt/equity (x)	0.0	0.0
Valuation		
EV/Sales (x)	–	–
EV/EBITDA (x)	–	–
P/E (x)	–	–
P/BV (x)	–	–

Recommendation Summary – (last 3 years)

No price history available.	Dates	Rating	Target
	No prior recommendation history		

Investment Rating Criteria

Ratings	Large caps	Midcaps	Small Caps
Buy	Upside is above 10%	Upside is above 15%	Upside is above 20%
Accumulate	-	Upside is between 10%-15%	Upside is between 10%-20%
Hold	Upside is between 0%-10%	Upside is between 0%-10%	Upside is between 0%-10%
Reduce/Sell	Downside is more than 0%	Downside is more than 0%	Downside is more than 0%
Not rated/Neutral	-	-	-

Definitions: Buy: Acquire at the current market price (CMP), with the target mentioned in the note. Accumulate: Partial buying, or accumulate as the CMP dips in future. Hold: Hold the stock with the expected target mentioned in the note. Reduce: Reduce exposure to the stock due to limited upside. Sell: Exit the stock. Not rated/Neutral: The analyst has no investment opinion on the stock.

Symbols:  Upgrade  No Change  Downgrade

Recommendations are based on a 12-month horizon unless otherwise specified. Investment ratings are on an absolute positive/negative return basis. Because of volatility in the near to medium term, there could be a temporary mismatch to a rating; for reasons of valuation, return or lack of clarity we may revisit the rating at an appropriate time. A stock always carries the risk of being upgraded or downgraded.

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